"Product, promotion, and place create value. But price harvests value."

DEFINING THE MARKET

In order to establish a marketing strategy for the product they are introducing to the marketplace, businesses have to define the customers they aim to sell to by researching and segmenting the market.

Market research

See pp.192–193.

- Identifies gaps in the market for the launch of new products
- Measures customer reactions to new offers and campaign messages

Market segmentation

See pp.194–195.

- Breaks down the market into smaller customer groups with similar needs
- Allows more focused campaigns with a greater chance of success

Price

- **What is the value of the product** to prospective customers?
- **What is the usual price point** for this type of product?

Cost

- **How much will the product cost the customer**, and will it be seen to represent a good buy?

Place

- **Where should the product be sold**—stores, online, or catalogs?
- **Where do competitors sell**, and is there a way to stand out in the same place?

Convenience

- **How easy is it for busy customers to find** and buy the product?

The 7Cs of the marketing mix

This model offers a customer-focused variation of the 7Ps, adding three more elements to the 4Cs.

- **Commodity**
- **Cost**
- **Convenience (or Channel)**
- **Communication**
- **Corporation** How do company structure, stakeholders, and other competitors affect marketing?
- **Consumer** What are the customer's needs and wants? Is the product safe? What product information is available?
- **Circumstances** Can the business deal with external factors, such as laws, weather, economy, culture?